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Case Number: 26STCV04081 Hearing Date: June 24, 2026 Dept: 311

SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311 (formerly 19)

Tentative

Ruling

26STCV04081

SAMANTHA

NUSSBAUM, AN INDIVIDUAL, et al. vs CITY OF LOS ANGELES, A MUNICIPAL

CORPORATION, et al.

June

24, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANTS WEINGART CENTER ASSOCIATION AND WEINGART HK SHELBY LLC'S SPECIAL MOTION TO STRIKE (CODE CIV. PROC. § 425.16). DEFENDANTS WEINGART CENTER ASSOCIATION AND WEINGART HK SHELBY LLC'S DEMURRER TO PLAINTIFFS' FIRST AMENDED COMPLAINT.

RULING:

The Court denies the Motion to Strike.

The Court overrules the Demurrer.

Twenty days to answer.

I.

BACKGROUND

On February 6, 2026, SAMANTHA NUSSBAUM and HOWARD GROSSMAN (Plaintiffs) filed a Complaint against CITY OF LOS ANGELES; LOS ANGELES HOUSING DEPARTMENT; CALIFORNIA DEPARTMENT OF HOUSING AND COMMUNITY DEVELOPMENT; KAREN BASS; WEINGART CENTER ASSOCIATION; WEINGART HK SHELBY LLC; and KEVIN MURRAY (Defendants).

On April 17, 2026,

Plaintiffs filed the First Amended Complaint (FAC), listing Causes of Action

for:

1.

TAXPAYER ACTION FOR WASTE, ILLEGAL EXPENDITURE OF PUBLIC FUNDS, AND CONFLICTS

OF INTEREST;

2.

FRAUD AND INTENTIONAL MISREPRESENTATION;

3.

NEGLIGENT MISREPRESENATION;

4.

EQUITABLE RELIEF – VOIDABLE CONTRACTS;

5.

DECLARATORY RELIEF;

6.

WRIT OF MANDATE (CCP §1085);

7.

INJUNCTIVE RELIEF – ULTRA VIRES AND ILLEGAL ACTS.

Plaintiffs allege that they

seek to stop continued misuse of approximately $58 million in public funds committed to the acquisition and conversion of 3340 Shelby Drive, Los Angeles, involving a prior eviction of senior residents of Terraza of Cheviot Hills, after misrepresentations to Plaintiffs and other local residents that the facility would be drug-free, alcohol-free, occupied by people age 55 and older.

On May 19, 2026, WEINGART CENTER ASSOCIATION and WEINGART HK SHELBY LLC (Defendants) filed the Demurrer to the FAC's First, Second, Fourth, Fifth and Seventh Causes of Action, and the Special Motion to Strike (SLAPP Motion) the Second and Third Causes of Action alleging Intentional and Negligent Misrepresentation on grounds that protected activity is alleged involving issues of public interest.

Plaintiffs oppose, based upon counterarguments that the allegations sufficiently state the claim elements, and they do not involve protected activity but after-the-fact fraud of no public interest. Alternatively, Plaintiffs request leave to amend, which Defendants argued against. (Demurrer Reply, 10:19-25.)

II.

LEGAL STANDARD

A. Demurrers

When considering

demurrers, courts read the allegations liberally, reasonably and in context. (MKB Management, Inc. v. Melikian (2010) 184 Cal.App.4th 796, 802; McKenney v. Purepac Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 77; Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228, disapproved of on other grounds by Jones v. Lodge at Torrey Pines Partnership (2008) 42 Cal.4th 1158, 1173.)

In ruling upon demurrers, courts treat as being true “not only the complaint's material factual allegations, but also facts that may be implied or inferred from those expressly alleged.” (Poseidon Development, Inc. v. Woodland Lane Estates, LLC (2007) 152 Cal.App.4th 1106, 1111-1112. Accord, Schauer v. Mandarin Gems of Cal., Inc. (2005) 125 Cal.App.4th 949, 953.)

Demurrers are to be sustained where a pleading fails to plead adequately any essential element of the cause of action. (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 879-880.)

A complaint does not necessarily need to be a model of pleading but needs sufficient factual allegations. (E.g., State v. The Superior Court (2001) 87 Cal.App.4th

1409, 1411.) Generally, complaints must contain ultimate facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550; Berger v. Cal. Ins. Guar. Ass'n (2005) 128 Cal.App.4th 989, 1006; Ludgate Ins. Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 606.) It can be difficult to distinguish ultimate facts from evidentiary facts and conclusions. (Thomas v. Regents of Univ. of California (2023) 97 Cal.App.5th 587, 610.)

Furthermore, opinions have not required absolute particularity in pleading, but instead sufficient particularity. (See, e.g., Armenta ex rel. City of Burbank v. Mueller Co. (2006) 142 Cal.App.4th 636, 644-645 ["The particularity with which the second amended complaint notifies defendants of the nature of their liability with respect to each of the newly named governmental entities emphasizes the unjustness of conditioning the amendment on the entities' responses to extraordinarily detailed discovery demands."].) " ' "The particularity required in pleading facts depends on the extent to which the defendant in fairness needs detailed information that can be conveniently provided by the plaintiff; less particularity is required where the defendant may be assumed to have knowledge of the facts equal to that possessed by the plaintiff." ' " (Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099 ["This fair notice test is clearly satisfied here."].)

Importantly, demurrers do not lie as to only parts of causes of action, where some valid claim is alleged. (E.g., Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119 [“A demurrer must dispose of an entire cause of action to be sustained.”]; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.) Similarly, a demurrer does not lie as to only a claim for relief where some valid claim is alleged. (E.g., Caliber Bodyworks, Inc. v. Superior Court (2005) 134 Cal.App.4th 365, 384, disapproved on other grounds by ZB, N.A. v. Superior Court (2019) 8 Cal.5th 175, 196, fn. 8.)

B. SLAPP Motions

Moving parties have the initial burden to demonstrate that a cause of action is subject to a special motion to strike. (Martinez v. Metabolife Inter. Ins. (2003) 113 Cal.App.4th 181, 186; Fox Searchlight Pictures Inc. v. Paladino (2001) 89 Cal.App.4th 294, 304.)

To determine if there was any conduct in furtherance of the exercise of the constitutional right of petition or right of free speech in connection with a public issue or one of public interest (Code Civ. Proc., § 425.16, subd. (e)(4)), courts ask (1) what public issue or issue of public interest is implicated by the activity, (2) what is the functional relationship between the activity and the public communicating about the issue, and (3) whether the activity contributes to public discussion of that issue. (Geiser v. Kuhns (2022) 13 Cal.5th 1238, 1249.)

If moving parties successfully have shifted the burden, then opposing parties must demonstrate a probability of prevailing on the merits of the complaint. (Equilon Ent., LLC v. Consumer Cause, Inc. (2002) 29 Cal.4th 53, 67; Matson v. Dvorak (1995) 40 Cal.App.4th 539, 548.) A court need not reach the second prong of the SLAPP analysis if the first prong [arising from protected conduct] was not satisfied. (Wang v. Wal-Mart Real Estate Business Trust (2007) 153 Cal.App.4th 790, 801.) “[A]n action may not be dismissed under this statute if the plaintiff has presented admissible evidence that, if believed by the trier of fact, would support a cause of action against the defendant.” (Taus v. Loftus (2007) 40 Cal.4th 683, 729.) “The plaintiff need only establish that his or her claim has ‘minimal merit’…to avoid being stricken as a SLAPP.” (Soukup v. Law Offices of Herbert Hafif (2006) 39 Cal.4th 260, 291.) The opposing parties’ burden as to an anti-SLAPP motion is like that of a party opposing a motion for summary judgment. (E.g., DaimlerChrysler Motors Co. v. Lew Williams, Inc. (2006) 142 Cal.App.4th 344, 352.)

III.

ANALYSIS

A. Demurrer

1. Taxpayer

Action (Code Civ. Proc. § 526a)

Defendants demur to the

Taxpayer Action Cause of Action, on the following grounds:

.

Plaintiffs do not allege a public officer

or employee, in the performance of official duties, participated in making a

contract while having a financial interest. (Gov. Code § 1090.)

.

Code if Civil Procedure § 526a does not

authorize challenging Defendants' State conduct or Homekey administration.

.

The Claim improperly seeks to enjoin past

expenditures and unwind a completed transaction, including discretionary

government decisions.

.

The Claim does not specifically allege an illegal expenditure or waste including as to site selection, purchase price, appraisal, budget, deadlines, permitting, inspections, or the 15-year operating plan.

.

The Cause of Action does not allege a presently cognizable illegal expenditure.

Plaintiffs respond that:

.

The First Cause of Action is directed only to local funds.

.

Section 526a reaches expenditures that provide no public benefit, or are totally unnecessary or useless. (Mohler v. County of Santa Clara (2023) 92 Cal.App.5th 418, 423–425.)

.

The FAC alleges such factors (FAC ¶¶ 4–7, 12, 42-43, 70–80, 86-91, 98-102, 121, 155–157).

.

The FAC challenges far more than just the closed escrow, including ongoing construction expenditures of public funds.

.

The FAC addresses financial interests in contracts that a governmental officer participated in making (FAC ¶¶ 133–136, 164–169).

Code of Civil Procedure section 526a has a broad remedial purpose to promote prompt preventative action against irremediable public injury. (Thompson v. Spitzer (2023) 90 Cal.App.5th 436, 455.) “Regardless of liberal construction, the essence of a taxpayer action remains an illegal or wasteful expenditure of public funds or damage to public property. The taxpayer action must involve an actual or threatened expenditure of public funds.” (Waste Management of Alameda County, Inc. v. County of Alameda (2000) 79 Cal.App.4th 1223, 1240.) To allege taxpayer standing, “[g]eneral allegations, innuendo, and legal conclusions are not sufficient…; rather, the plaintiff must cite specific facts and reasons for a belief that some illegal expenditure or injury to the public fisc is occurring or will occur.” (Ibid.) Plaintiffs have standing as interested citizens to sue to seek to have laws executed and public duties enforced if the “‘public duty is sharp and the public need weighty….’”

(Urban Habitat Program v. City of Pleasanton (2008) 164 Cal.App.4th 1561, 1581. Accord, Common Cause v. Board of Supervisors (1989) 49 Cal.3d 432, 439, 440.

Cf. A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695 [“Although the third amended complaint is not a model of clarity, it contains substantive factual allegations sufficient to apprise … of the claims …: whether the award of the project contract … was unlawful, and whether … must return the payments it received from the District for work performed under the contract. Further, the third amended complaint alleges the District violated Public Contract Code sections 20111.5 and 20111.6 by failing to require prequalification of bidders, and that the District had a conflict of interest … in violation of Government Code section 1090.”].)

Here, the FAC alleges

various theories of illegality, including violating “fair market value” requirements (¶¶ 42, 74 (“Taylor purchased and resold the Property within approximately 10 days, netting approximately $16.1 million in profit at taxpayer expense.”), 87-91, 155 (“overpayment of approximately $16.1 million.”), contract breaches including because “assisted living senior residents were vacated by notice and threat of suit and court action, not by a real relocation process….” (¶¶ 70(b), 98-102, 141), criminal involvement (¶ 85 (“Taylor was arrested and indicted on federal charges including seven counts of bank fraud, one count of money laundering, and one count of aggravated identity theft, based in part on his acquisition and sale of the Property.”), wasteful past and future expenditures beyond from discretionary policymaking (¶¶ 92-97, 102-106, 120, 156-161), and a government official financially involved in contracting in violation of Government Code section 1090 (“¶135 (“not only in his private capacity as Weingart's CEO but in a manner that engaged his official duties as a LACAHSA board member, satisfying the predicate of Government Code section 1090.”), and 165.)

2. Intentional

Misrepresentation

Regarding Intentional

Misrepresentation, Defendants make the following points:

.

Alleged representations are about future operation of an unopened facility, and not actionable misstatements of past or existing fact.

.

Plaintiffs lack particularized facts showing justifiable reliance, causation, or recoverable

.

damages.

.

The challenged statements postdate the City approvals, funding disbursements, and escrow closing that Plaintiffs purport to challenge.

.

The challenged statements are protected speech and petitioning activity (Code Civ. Proc. § 425.16).

.

Negligent misrepresentation cannot rest on a negligent false promise of future conduct.

Plaintiffs counterargue

that:

.

Alleged misrepresentations were statements of then-existing documents and facts.

.

The FAC is pled with particularity.

.

Plaintiffs allege they justifiably relied on the representations, by withdrawing organized opposition, declining to retain counsel or pursue administrative remedies, and forgoing timely judicial intervention. (FAC ¶¶ 176–177.)

.

Plaintiffs alleged harm caused by refraining from opposition until the status quo became difficult to undo.

.

Even if the Yaroslavsky-attributed statements are insufficient, the demurrer to part of a claim must be overruled, because the Weingart Letter, the Fact Sheet, and the Boykin email are Weingart's representations.

Generally, representations must have been about past or existing facts, with exceptions such as a party is held out as possessing superior knowledge and plaintiff reasonably relies. (Neu-Visions Sports v. Soren (2000) 86 Cal.App.4th 303, 308. Cf. Miles v. Deutsche Bank Nat'l Trust Co. (2015) 236 Cal.App.4th 394, 402-403 [misrepresentation of a future event may form the basis of promissory fraud claim].)

" 'One who fraudulently makes a misrepresentation of fact, opinion, intention or law for the purpose of inducing another to act or to refrain from action in reliance upon it, is subject to liability to the other in deceit for pecuniary loss caused to him by his justifiable reliance upon the misrepresentation.' " (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 174.) "[I]f the effect of a misrepresentation is to induce forbearance—to induce persons not to take action—and those persons are damaged as a result, they have a cause of action for fraud or negligent misrepresentation." (Schuster v. Gardner (2005) 127 Cal.App.4th 305, 314.)

Complainants must plead that fraud has caused damages. (Patrick v. Alacer (2008) 167 Cal.App.4th 995, 1016-1017.) Even for specifically pled fraud claims, only the damage type need be alleged, and "the absence of a specific amount from the complaint is not necessarily fatal as long as the pleaded facts entitle the plaintiff to relief." (Furia v. Helm (2003) 111 Cal.App.4th 945- 957. But see Nagy v. Nagy (1989) 210 Cal.App.3d 1262, 1268 ["An allegation of a definite amount of damage is essential…."].)

Here, as alleged participants in the subject project, the FAC well alleges Defendants' superior knowledge about future plans, communicated to residents relying upon the representations by ceasing organized opposition, and their knowledge of falsity as inferred from multiple contradictory documents. (E.g., FAC, ¶¶ 107-118, 174.)

Additionally, Plaintiffs satisfactorily allege that, even after the facts of approvals, funding and escrow, misrepresentations had induced them to forebear from pursuing further organized opposition, administrative remedies, and other interventions. (E.g., FAC, ¶¶ 21-22.) One alleged type of harm caused by delayed organized opposition is, "[t]he foreseeable victims of felony drug activity…." (Ibid., ¶ 123.) Other identified types are, "incurred costs, including legal fees, diminished use and enjoyment of their residences and their immediate neighborhood, and reduction in the value of their real property attributable to the operation of a facility on the represented terms as compared with a facility operated on the actual terms governing the Project." (Ibid., ¶ 177.)

Particularity is not an issue of concern here, where the FAC uniquely includes evidentiary level pleading, especially given the above-referenced flexibility in the applicable law about pleading fraud.

3. Equitable Relief, Rescission and Cancellation of Instruments

Defendants make these points about Equitable Relief:

.

Plaintiffs are not parties to the relevant

agreements they seek to rescind or cancel.

.

Plaintiffs do not plead that any

instruments are void or voidable against them or that they face a reasonable

apprehension of serious injury (Civ. Code § 3412).

.

Plaintiffs cannot rescind contracts to

which they are not parties (Civ. Code § 1691).

Plaintiffs essentially

contend that strangers to agreements may rescind instruments that are void ab

initio, pursuant to Government Code section 1090.

“A prerequisite to any

claim for rescission is a contract between the parties.” (Viterbi v. Wasserman (2011) 191 Cal.App.4th 927, 935.) But, importantly,

a contract can be rescinded, “[i]f the public interest will be prejudiced by

permitting the contract to stand.” (Civ. Code, § 1689, subd. (b)(6).)

And the elements of a Cause of Action for

instrument cancellation are these: 1) A written instrument; 2) a reasonable apprehension that it may cause serious injury to someone; and 3) as to whom it is void or voidable. (Civ. Code, § 3412. See also Kroeker v. Hurlbert (1940) 38 Cal.App.2d 261, 266 [“In actions to cancel a certain instrument it is necessary for the complaint to state a case within the code sections for which reason it is essential to allege the facts affecting the validity and invalidity of the instrument which is attacked.”].)

A taxpayer action may

support a remedy of cancellation of others’ agreement, if found to be illegal for some applicable reason. (See Hiller v. City of Los Angeles (1961) 197 Cal.App.2d 685, 687-694 [judgment cancelling contract reversed because it was not illegal notwithstanding trial court ruling to the contrary].) Taxpayers can have standing to prevent injury to the public, even absent any injury to themselves, depending on the circumstances. (E.g., Chiatello v. City & Cnty. of San Francisco (2010) 89 Cal.App.4th 472, 481–482 [no standing to challenge tax collection].) “In this state we have been very liberal in the application of the rule permitting taxpayers to bring a suit to prevent the illegal conduct of city officials, and no showing of special damage to the particular taxpayer has been held necessary.” (Crowe v. Boyle (1920) 184 Cal. 117, 152 [injunction denied because particular contract was valid].)

As already specified above

as to the First Cause of Action, the FAC satisfactorily alleges various theories of illegality. Further, allegations cover theories of the public interest being prejudiced by permitting the contract to stand and a reasonable apprehension that it may cause someone serious injury. (E.g., FAC, ¶¶ 123, 177.)

4. Declaratory Relief

Regarding Declaratory Relief, Defendants advance the following grounds:

.

Declaratory relief is not an independent cause of action.

.

Plaintiffs do not plead an actual controversy between Plaintiffs and Weingart as required by Code Civ. Proc. § 1060.

.

The Claim duplicates the First, Fourth, and Seventh Causes of Action.

.

Declaratory relief is not necessary or proper (Code Civ. Proc. § 1060).

Plaintiffs reason that the Fifth Cause of Action alleges an actual controversy and is not duplicative.

Procedurally, with exceptions, a demurrer must be overruled, if an actual controversy is alleged, even if plaintiffs are not entitled to a judgment in their favor. (Nede Mgmt. Inc. v. Aspen American Ins. Co. (2021) 68 Cal.App.5th 1121, 1132 [where complainants adequately allege an actual controversy in support of a declaratory relief claim, demurrers technically should be overruled, but sustaining and declaring adversely is nonprejudicial error, when the pleading fails to allege entitlement to relief on the merits, as questions of law based on undisputed allegations.]; Osseous Technologies of Amer., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 364 ["'The mere circumstance that another remedy is available is an insufficient ground for refusing declaratory relief, and doubts regarding the propriety of an action for declaratory relief ... generally are resolved in favor of granting relief.'"]; Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 460 ["Strictly speaking, a demurrer is not an appropriate weapon to attack a claim for declaratory relief inasmuch as the plaintiff is entitled to a declaration of its rights, even if adverse."]; Bardin v. DaimlerChrysler Corp. (2006)

136 Cal.App.4th 1255, 1277 [no actual controversy exists because claims underlying declaratory relief insufficiently alleged on the merits]; Hood v. Superior Court (1995) 33 Cal.App.4th 319, 324 [declaratory relief unavailable where duplicates other cause of action]. But see Batt v. City and County of San Francisco (2007) 155 Cal.App.4th 65, 82 [declaratory relief is an equitable remedy, not an independent cause of action], disapproved on other grounds by McWilliams v. City of Long Beach (2013) 56 Cal.4th 613, 626.)

The FAC challenges future expenditures and project work, as to the element of actual controversy. (E.g., FAC, ¶¶ 18 (“Plaintiffs challenge ongoing and future expenditures of public funds under the Project, including continuing project expenditures and undisbursed City operating funds,…”), 19 (“Plaintiffs seek to halt further work on the Property and any further disbursement….”), 34, 120 (“The future disbursement authorization is an independent legislative act that has not yet occurred….”).)

Further, the Claim is not simply duplicative of other claims, where it specifies other sub-issues for determination beyond just the claim elements. (E.g., FAC, ¶¶ 199-202.)

5. Injunctive Relief

Defendants argue against

Injunctive Relief, for the following specified reasons:

.

Injunctive relief is not an independent

cause of action.

.

The claim is derivative of, and

duplicative of, Code of Civil Procedure section 526a and Government Code section

1090.

.

Plaintiffs seek overbroad relief to enjoin

some specified funds, construction and renovation activity, and a public

accounting, unconnected with any viable substantive claim.

.

The Opposition, “concedes the demurrer on

the seventh count.” (Reply, 10:1.)

Plaintiffs maintain that,

at most, the Court may treat the Seventh Cause of Action as a request for

relief tied to the other substantive claims.

“In considering a

demurrer, the court is not required to ignore controlling law merely because the plaintiff does not rely on it.” (Dey v. Continental Central Credit (2008) 170 Cal.App.4th 721, 730.) Under some authorities uncovered by the Court’s own research, Injunctive Relief is a cognizable claim having the elements of:

Wrongful act stating a cause of action; and

basis for equitable relief (e.g., ordinarily irreparable harm must be threatened, or a remedy at law is inadequate).

(Brownfield v. Daniel Freeman Marina Hosp. (2d Dist. 1989) 208 Cal.App.3d 405, 410; Intel Corp. v. Hamidi (2003) 30 Cal.4th 1342, 1352. See also San Diego Unif. Port Dist. v. Gallagher (1998) 62 Cal.App.4th 501, 503 [“To qualify for a permanent injunction, the plaintiff must prove (1) the elements of a cause of action involving the wrongful act sought to be enjoined…; and (2) the grounds for equitable relief.”]; E.H. Renzel Co. v. Warehousemen's Union I.L.A. 38-44 (1940) 16 Cal.2d 369, 373 [“A complaint for an injunction which alleges only general conclusions, not warranted by any pleading of facts, does not state a cause of action to enjoin the acts complained of.”]. Cf. Douglas v. Superior Court (1989) 215 Cal.App.3d 155,159 [“second cause of action for conspiracy to defraud incorporates the allegations of the first cause of action, the demurrer to that cause of action should also have been overruled.”]. But see, e.g., Marlin v. Aimco Venezia, LLC (2007) 154 Cal.App.4th 154, 162 ["An injunction is a remedy, not a cause of action.”]; Shamsian v. Atlantic Richfield Co. (2003) 107 Cal.App.4th 967, 984-985 [“Correctly, the respondents state that a request for injunctive relief is not a cause of action…. Therefore, we cannot let this ‘cause of action’ stand. However, … on remand the trial court shall permit the appellants to amend their … cause of action to include their request for injunctive relief.”].)

Furthermore, the claim, incorporating by reference the others, is not merely duplicative of other claims, including because it specifies various types of relief and facts not encompassed in elements of the other Causes of Action. (E.g., FAC, ¶¶ 209, 215.)

Additionally, that Injunctive Relief may be overly broad as partly unsupported is not an authorized basis for a demurrer that must address entire causes of action, not just parts of them.

6. Indispensable Parties

Defendants opine that Plaintiffs failed to join indispensable parties. Plaintiffs' Opposition does not address this issue, except for a brief "joinder" reference, at page 18, line 17.

A judge in a civil case may, but is not "'obligated to seek out theories [a party] might have advanced, or to articulate … that which … [a party] has left unspoken.'" (Mesecher v. County of San Diego (1992) 9 Cal.App.4th 1677, 1686.)

Where the question of joinder is not sufficiently revealed in the pleading stage, courts appropriately defer the decision until the action was further advanced. (Countrywide Home Loans v. Superior Court (1999) 69 Cal.App.4th 785, 793; Harboring Villas Homeowners Ass'n v. Superior Court (1998) 63 Cal.App.4th 426, 430.) "Joinder is required only when the absentee's nonjoinder precludes the court from rendering complete justice among those already joined…"and any effects upon future litigation or the absent party are immaterial. (Countrywide Home Loans v. Superior Court

(1999) 69 Cal.App.4th 785, 794.)

Distinguishably, other

taxpayers' case allegations and arguments had clearly revealed that

indispensable parties were not joined. (See Covarrubias v. James (1971)

21 Cal.App 3d 129, 133 [unions would find collective bargaining agreements

annulled as to public projects and involve a ruling of union discrimination].)

The FAC already names

allegedly responsible governmental and private entities, and current former

governmental officials, and it does not reveal that nonjoinder of any parties, regarding

enjoining expenditures of City funds for the project, would somehow preclude justice

among those already joined.

7. Laches

Defendants contend that claims

are barred by laches and unreasonable delay.

Plaintiffs assert the

demurrer procedure where laches may be decided only if both elements appear on

the face of the complaint, which is not the case here.

As

a matter of procedure, complainants are not required to address and anticipate affirmative defenses in their pleadings, unless already revealed. (E.g., Gentry v. eBay, Inc. (2002) 99 Cal.App.4th 816, 825.) “‘[A]

demurrer based on an affirmative defense will be sustained only where the face

of the complaint discloses that the action is necessarily barred by the

defense.’” (McKenney v. Purepac

Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 78-79.)

The

elements of the Affirmative Defense of Laches, are these:

Failure to

assert a right;

unreasonable

delay; and

resulting

prejudice to the adverse party.

(In re Marriage of Powers (1990) 218

Cal.App.3d 626, 642. See also Barndt v.

County of L.A. (1989) 211 Cal.App.3d 397, 403, fn.1 [“‘If the complaint

merely discloses the lapse of a long period of time without affirmatively

showing or necessarily implying any injury to the defendant therefrom, it does

not show laches on its face, and a demurrer should not be sustained.’”]; Golden Gate Water Ski Club v. County of

Contra Costa (2008) 165 Cal.App.4th 249, 263 [laches involves a fact question, but may be decided as a matter of law where relevant facts are not disputed]; Connolly v. Trabue (2012) 204 Cal.App.4th 1154, 1164 ["laches applies to equitable actions, not actions at law."].)

Here, laches is not revealed by the repeatedly alleged reasons for the delayed lawsuit. (E.g., FAC, ¶¶ 16 ("residents also relied on Weingart's written representations regarding the Project's operating conditions and did not yet possess the records necessary to uncover the full extent of the alleged fraud, waste, and misuse of public funds."), 18 ("material facts underlying these claims were not publicly available and that key documents necessary to plead them were not produced until 2026."), 68 ("The Concealment Clause prevented public scrutiny of the double escrow structure…."), 147 ("During much of 2025, residents did not yet possess the records necessary….").) Besides, the FAC does not address any harm caused to Defendants flowing from any delay.

B. Special Motion to Strike

Defendants bring the Special Motion to Strike the Second and Third Causes of Action, on grounds that they arise from communications about a publicly funded interim-housing facility that is a public controversy. Defendants add that Plaintiffs cannot establish a probability that they will prevail, because:

1. The alleged misrepresentations concern the future operation of an unopened facility, not actionable misstatements of past or existing fact.

2. One of the alleged misrepresentations—statements attributed to Councilmember Yaroslavsky—is not attributable to Weingart.

3. Plaintiffs cannot establish falsity of the challenged statements.

4. Plaintiffs cannot establish the required state of mind under either fraud or negligent misrepresentation standards.

5. Plaintiffs cannot establish actual or justifiable reliance on the challenged statements.

6.

Plaintiffs cannot establish causation or

recoverable fraud damages.

7.

Plaintiffs cannot preserve their punitive

damages prayer.

As for step 1 of the

SLAPP analysis, Plaintiffs argue that Defendants’ misrepresentations are not

protected speech under Code of Civil Procedure section 425.16, because they occurred

after the public decisions were finalized.

Regarding step 2,

Plaintiffs contend that the several filed declarations by Plaintiffs and their

neighbors, evidence the elements of Fraud, including that they relied upon Defendants’

written assurances, withdrew from opposing the project, and thereby lost their

ability to oppose the project sooner and more effectively, without risking a

complete loss of that capability.

1. Step

1

“[T]he

fact that a defendant's conduct was alleged to be illegal, or that there was

some evidence to support a finding of illegality, does not preclude protection under the anti-SLAPP law.” (Wallace v.

McCubbin (2011) 196 Cal.App.4th 1169, 1188, disapproved on other grounds by Baral v. Schnitt (2016) 1 Cal.5th 376, 396.) The rule that the

SLAPP statute does not protect speech or petitioning conclusively shown, or

conceded to be, illegal, is limited to criminal conduct. (Fremont Reorganizing Corp. v. Faigin (2011) 198 Cal.App.4th 1153, 1169.)

Specifically

applicable to this case, an allegedly fraudulent statement may nonetheless arise

from a protective activity, depending upon whether it involved a public issue,

for instance. (See Talega Maint. Corp. v. Standard Pac. Corp. (2014) 225

Cal.App.4th 722, 735.)

Still,

a complaint is exempt from the SLAPP statute, under Code of Civil Procedure

section 425.17, subdivision (b), if it would benefit the public, as determined

by examining the complaint type and prayer, to ascertain whether it seeks to

vindicate public policy goals, without getting into evidence. (Tourgeman v. Nelson & Kennard (2014)

222 Cal.App.4th 1447, 1463.) But under Code of Civil Procedure section

425.17(b), the public interest exception does not apply if any part of the

complaint seeks relief to directly benefit the plaintiff, greater than, or

different from, relief sought on behalf of the general public. (Lindsay

v. Patenaude & Felix APC (2024) 107 Cal.App.5th 335, 345.)

The

Court finds that the statements involve ongoing activities of public interest, even after decisions had been made and implemented, because Plaintiffs, and the other taxpayers they seek to benefit, seek future (not moot) remedies to enjoin or cancel instruments and actions, based upon Defendants' alleged inducement of their foregoing timely actions to their detriment. (E.g., FAC, ¶¶ 18-20.) Moreover, the Defendants' decisions are not all in the past, to remove the public interest aspect, but rather the FAC admits that there are some decisions yet outstanding to be made. (E.g., FAC, ¶ 120 ("The future disbursement authorization is an independent legislative act that has not yet occurred….").)

A

case Plaintiffs cited did not specifically address lost public interest after conduct totally completed in the past, but instead addressed much broader factors, and thus is unpersuasive here. (See FilmOn.com Inc. v. DoubleVerify Inc. (2019) 7 Cal.5th 133, 154 ["content and context lets us discern in this case is that … report does not qualify for protection under the catchall provision of the anti-SLAPP statute."].) (Underscoring added.)

Notwithstanding

the above, the Court finds and concludes that the public interest exception of the SLAPP statute applies, including because the FAC uniformly requests the same relief on behalf of Plaintiffs and the general public, without Plaintiffs seeking any relief greater than or different from that relief. (See, e.g., FAC, pp. 55-56 (Prayer for Relief).) That they seek damages for themselves is not alone determinative.

Because the FAC is excepted from the SLAPP statute, the Court need not proceed to step 2, but does so anyway, for the sake of completeness.

2. Step

2

As further analyzed above regarding the Demurrer, Plaintiffs sufficiently alleged all necessary elements for viable Causes of Action based upon misrepresentations by those having superior knowledge, which focus upon being induced to forego timely challenges, to their detriment of losing some or all ability to stop the project and to recoup funds. (E.g., FAC, ¶ 20.) As to the Motion to Strike, in support of those alleged elements, Plaintiffs have filed several declarations by themselves and nonparty witnesses, about reliance upon the representations concerning safety arrangements, and Defendants inferred knowledge of falsity given contradictory documentation.

Also, Plaintiffs need not

evidence every alleged misrepresentation. “[W]here a cause of action arises from both protected activity and unprotected activity, the plaintiff may satisfy its obligation in the second prong by simply showing a probability of prevailing on any part of the cause of action.” (Wallace v. McCubbin (2011) 196 Cal.App.4th 1169, 1212, disapproved on other grounds by Baral v. Schnitt (2016) 1 Cal.5th 376, 396.) Here, the FAC alleges a variety of misrepresentations from public and private individuals, any one of which could support the claims. (E.g., FAC, ¶¶14-16, 21-22.)

IV.

CONCLUSION

In summary, a sound determination of the issues raised by the Demurrer and Motion is achieved by faithfully applying all applicable law beyond just that cited by the parties, and considering the full content of the FAC.

Additionally, the Court has considered the evidentiary objections in making its ruling. Where all or some evidentiary objections were not expressly ruled upon, appellate courts presume that they have been overruled. (Union Pac. R.R. Co. v. Superior Court (2024) 105 Cal.App.5th 838, 850 [citing Reid v. Google, Inc. (2010) 50 Cal.4th 512, 534]. Accord, Valentine v. Plum Healthcare Grp., LLC

(2019) 37 Cal.App.5th 1076, 1089.)

Accordingly, the Court

overrules the Demurrer, and denies the Motion, for reasons analyzed herein.